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NATIONAL SECURITY COUNCIL
WASHINGTON, D.C. 20504

21311

Summary of Conclusions for
Meeting of the NSC Principals Committee

DATE: November 7, 1995

LOCATION: White House Situation Room

TIME: 2:30 - 4:00 p.m.

SUBJECT: Summary of Conclusions of Principals Committee Meeting
on Bosnia ~~(S)~~

PARTICIPANTS:

Chair

Anthony Lake

OMB

Alice Rivlin

Gordon Adams

OVP

Leon Fuerth

CIA

John Deutch

Dennis Blair

State

Secretary Christopher

Peter Tarnoff

Richard Holbrooke

(via secure video)

Robert Gallucci

(via secure video)

JCS

General Shalikashvili

Gen. Michael Byron

LTG Wesley Clark

(via secure video)

DOD

Dr. John White

Jan Lodol

AID

Brian Atwood

Ted Morse

USUN

Amb. Madeleine Albright

William Woodward

White House

Sandy Berger

Nancy Soderberg

Treasury

Jeff Shafer

Mark Sobel

NSC

Sandy Vershbow

John Feeley

Don Kerrick

(via secure video)

Summary of Conclusions

Humanitarian Sanctions Relief for the FRY

1. Principals considered a recommendation from Ambassador Holbrooke that the U.S. respond favorably to a Milosevic request

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Classified by: Andrew Sens

Reason: 1.5 (a,b,d)

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for humanitarian exceptions to the sanctions regime that would allow exports of grain to finance limited imports of natural gas and heating oil for the winter months. They agreed to seek the President's approval of a positive but scaled-back response to the Milosevic proposal (see chart below). They also agreed that, while this plan was aimed at moving the talks forward, any exceptions to the sanctions regime should be defensible as humanitarian in purpose and analogous to exceptions granted last winter. At the same time, they agreed that a level of natural gas higher than our estimate of FRY humanitarian needs could be accepted in view of the support expressed by the Bosnian Government for unrestricted natural gas flows. ~~(S)~~

2. Principals recommended the following specific levels, which would apply for six months:

	<u>U.S. proposal</u>	<u>FRY request</u>	<u>Est. Requirement</u>
Natural Gas (million cubic meters per month)	36 to 100*	218	15
Heating Oil (tons per month)	28,500	73,000	28,500
Liquefied Natural Gas (tons per month)	588	588	588+

* 36 mcm would give the FRY a monthly allocation of natural gas equivalent to the Bosnians' natural gas requirements; 100 mcm is a figure previously approved by the Bosnian Government as a trade-off for securing Russian gas for Sarajevo through the Serbian pipeline. ~~(S)~~

3. In addition, Principals agreed that the exceptions should be conditional upon: (a) daily monitoring of gas flows to Sarajevo and the FRY, and of all oil shipments to the FRY, which we would seek to restrict to Danube ports; and (b) FRY provision of data on its heating oil inventories (to discourage stockpiling). Most importantly, they agreed that the whole deal would be terminated if the FRY were responsible for cutting off gas to Sarajevo. ~~(S)~~

4. With respect to financing of the oil/gas imports, Principals agreed not to permit the FRY to sell grain on the open market. But Principals could agree that the FRY could provide grain to Russian oil/gas suppliers on a barter basis. The value of the grain, however, must be limited to the value of the fuel imports. Finally, Principals agreed that we would review any arrangement and also submit to the Security Council any necessary technical resolution. ~~(S)~~

5. Note: Following the President's approval of the above proposal and its presentation in Dayton, Principals, with the President's concurrence, agreed to modify the U.S. position to permit unrestricted flows of natural gas to the FRY for a two-month period in light of strong representations from the Bosnian and Serbian delegations in Dayton. ~~(S)~~

Implementation Funding

6. Principals agreed that the figures of 20 percent of the total economic reconstruction package and a U.S. share of approximately \$600 million could be used as notional figures for planning purposes in developing a U.S. economic reconstruction strategy. ~~(S)~~

7. Principals agreed in principle that the forthcoming budget "endgame" negotiations with the Congress represented the best option for securing funding for Bosnia peace implementation programs but that further study and review was needed on strategy **(Action: OMB)**. They agreed that during budget negotiations, funding for peace implementation in Bosnia should, to the extent possible, not come at the expense of military readiness or other international affairs programs. ~~(S)~~

Military Stabilization Program

8. Principals agreed that the equip and train program should be conducted by contractors. They agreed that the terms of reference for the assessment team's meetings in Dayton should be made more clear and that the team should meet only with Federation officials and not the Serbs **(Action: OSD/JCS)**. They agreed to send the assessment team to Bosnia after reviewing the results of the team's discussions in Dayton with the U.S. delegation and with Federation officials. ~~(S)~~

Eastern Slavonia

9. Principals agreed to defer discussion of a possible U.S. role in implementation of an Eastern Slavonia settlement pending developments in the ongoing negotiations. ~~(S)~~

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